IN THE INDUSTRIAL COURT OF MALAYSIA

CASE NO. : 19/4-491/22

BETWEEN

RIZAL BIN ABDUL KADIR

AND

MARITIME INSTITUTE OF MALAYSIA

AWARD NO: 1874 OF 2025

Before	: Y.A. Puan Hajah Zalina Binti Haji Awang @ Mamat - Chairman (Sitting Alone)
Venue	: Industrial Court Malaysia, Kuala Lumpur
Date of Reference	: 18.02.2022
Dates of Mention	: 23.03.2022, 16.11.2022, 01.03.2023
Dates of Hearing	: 29.05.2025, 08.09.2025
Representation	: Mr. Gan Khong Aik together with Ms. Lee Sze Ching From Messrs Gan Partnership Counsel for the Claimant Mr. Michael Anthony From Messrs. Michael & Co. Counsel for the Company

REFERENCE:

This is a reference made under Section 20(3) of the Industrial Relations Act 1967 [Act 177] pertaining to the dismissal of **RIZAL BIN ABDUL KADIR** (hereinafter referred to as ''the Claimant'') by **MARITIME INSTITUTE OF MALAYSIA BERHAD** (hereinafter referred to as ''the Company'') on **02.05.2021**.

AWARD

[1] This Director General of Industrial Relations (DGIR) reference required this Court to hear and determine the Claimant's complaint of dismissal on 02.05.2021 [as at CLB-1 page 44] by the Company.

[2] The Claimant, Mr. Rizal bin Abdul Kadir, was appointed Deputy Director General (Deputy DG) of the Maritime Institute of Malaysia ("MIMA" or the Company) by a Board of Directors (the BOD) on 10.12.2014. His employment contract (dated 10.12.2014) and job description explicitly required adherence to MIMA's rules and service conditions. Although he hoped to become Director General (DG), any such advancement was conditional on "MIMA's rules and regulations" and Board directives. In mid-2019, the Claimant was serving as Acting DG (the DG post having become vacant).

[3] In 2018 and 2020, MIMA advertised the DG position and appointed others. The Claimant applied in 2018, was unsuccessful, and resigned (which he later retracted when the chosen DG did not take office). He accepted the extensions of those DGs' contracts and on 13.05.2019 became Acting DG. After a new DG was appointed in July 2020, the Claimant expressed dissatisfaction but ultimately remained in the Company, only raising concerns in August 2020.

REFERRED CAUSE PAPERS

[4] The trial took place over seven (7) days on 26.02.2024, 01.10.2024, 02.10.2024, 03.10.2024, 21.04.2025, 22.04.2025 and 29.05.2025.

[5] The following are the cause papers filed before this Honourable Court:

No.	Cause Papers	Marking
1.	Statement of Case dated 13.04.2022	-
2.	Statement in Reply dated 10.05.2022	-
3.	Rejoinder dated 18.05.2022	-
4.	Company's Bundle of Documents (Volume 1)	COB1

5.	Company's Bundle of Documents (Volume 2)	COB2
6.	Company's Bundle of Documents (Volume 3)	COB3
7.	Company's Bundle of Documents (Volume 4)	COB4
8.	Company's Bundle of Documents (Volume 5)	COB5
9.	Company's Bundle of Documents (Volume 6)	COB6
10.	Company's Bundle of Documents (Volume 7)	COB7
11.	Company's Bundle of Documents (Volume 8)	COB8
12.	Claimant's Bundle of Documents (1)	CLB-1
13.	Claimant's Bundle of Documents (2)	CLB2
14.	Claimant's Bundle of Documents (3)	CLB3
15.	Claimant's Bundle of Documents (4)	CLB4
16.	Company's Witness Statement (Puan Puan Aspamurni Bt Maslan)	COWS1
17.	Company's Witness Statement (Puan Suhaila bt Asmuni)	COWS2
18.	Company's Witness Statement (Muslim Bin Othman)	COWS3
19.	Claimant's Witness Statement	CLWS1

SALIENT FACTS
THE CLAIMANT'S CASE
Claimant's Employment

[6] By way of a Letter of Appointment dated 10.12.2014 (**Letter of Appointment**) [at CLB-1, pages 3 - 9], the Claimant was appointed by the Company as the Deputy Director General **(Deputy DG)** effective 01.01.2015.

[7] At the Clause 2(ii) of the Letter of Appointment [CLB-1, page 3] provides that the purpose of the appointment be for the Company to prepare the Claimant for his subsequent role as Director General (DG). This included the Claimant covering the duties and responsibilities of the DG in the absence of DG.

[8] Between 01.05.2019 and 24.07.2020, the Claimant was made the Acting DG by the Company through a decision of the Board of Directors of the Company at its 113th Meeting on 13.05.2019 [as at CLWS1, page 2, Q&A3].

[9] The Claimant's last drawn base salary was RM19, 000.00. During the Claimant's employment with the Company, the Claimant was also entitled to:

(a) Fixed monthly petrol allowance of RM300.00;
(b) Medical insurance;
(c) Life insurance;
(d) Company car.

Events leading to the Termination of the Claimant's Employment

[10] On 19.08.2020, the Claimant was given a notice to go on Garden Leave until 18.09.2020 **("1st Garden Leave Notice")** [CLB-1, page 10].

[11] On 17.09.2020, the Company again extended the Claimant's Garden Leave from 19.09.2020 until 18.10.2020 ("**2nd Garden Leave Notice"**) [CLB-1, page 11].

[12] Before the Claimant was given the second Garden Leave Notice, on the same day on 17.09.2020, the Company on its own initiative proposed a meeting with the Claimant [as at CLWS1, pages 9 – 10, Q&A 10].

a) The meeting was held outside the premises of the Company. The Company was represented by two Directors including the Chairman of the Company (Dato' Mohamed Suffian Awang and Mr Chua Tong Ka). The Chairman informed the Claimant that they were mandated by the Board of Directors to hold the meeting.

b) The Company proposed that an amicable solution with the Claimant was in the interests of all parties. The Company then proposed that the Claimant considered a settlement agreement.

c) On 30.09.2020, the Claimant presented the draft settlement agreement in accordance with the meeting held on 17.09.2020 [as at CLB-1, pages 28 – 43].

[13] On 15.10.2020, the Company again extended the Claimant's Garden Leave from 19.10.2020 until 18.11.2020 (**3rd Garden Leave Notice**) [as at CLB-1, page 12].

[14] By way of the Company's letter dated 22.10.2020, the Company rejected in to the Claimant's proposed draft settlement agreement **("Letter of Rejection")** [as at CLB-3, page 11].

[15] On 17.11.2020, the Company issued a show cause letter to the Claimant and put him on suspension **("Show Cause Letter")** [CLB-1, as at pages 13-19].

[16] On 07.12.2020, the Claimant replied to the Show Cause Letter and denied all the charges **("Reply to Show Cause").** The Reply to Show Cause [as at CLB2, pages 4 – 27 and the appendix are at pages 28 – 463].

[17] By way of the Letter of Termination dated 02.04.2021 [as at CLB-1, page 44], the Company terminated the Claimant's employment with one month notice.

Facts Relating to the Charges against the Claimant Lack of Sufficient Authorised Signatories

[18] It is a requirement that the Company's bank cheques must be signed by at least two (2) of the following authorised signatories [COWS-1, page 2, Q&A3]:

(a) the Claimant;

(b) Puan Zaharizan Binti Mat Zin; and

(c) Tan Sri Dato' Seri Ahmad Ramli.

[19] However, the Claimant was effectively the only authorised bank signatory since 01.11.2019 because:

a) Puan Zaharizan binti Mat Zin gave her notice on or around 24.10.2019 to resign as a member of the Board effective 01.11.2019 [COB3, page 61, Notice dated 24.10.2019]. As such, she can no longer be the authorised signatory [COWS1, page 3, Q&A 3].

b) Tan Sri Dato' Seri Ahmad Ramli was sick and had not completed the necessary process at the Bank to be the authorised signatory. This was admitted to and agreed by the Company's witnesses; and

i. A screenshot of WhatsApp between the Claimant and COW-1 [as at CLB3, page 6];

ii. Cross-examination of COW-1:

GKA: Dan adakah kamu tahu bahawa Tan Sri Datuk Seri Ahmad Ramli pada ketika itu tahun 2019 memang tidak sihat?

COW-1: Ya. Setuju.

GKA: Hanya satu sahaja penandatangan syarikat untuk akaun-akaun bank syarikat iaitu Dr Rizal, sebab November 2019, Datuk Seri chairman dia belum lagi daftar sebagai penandatangan, Zahara kita nak tukar belum sempat tukar, jadi pada hakikatnya tinggal seorang saja, Dr Rizal. Betulkan?

COW-1: Ye.

GKA: Setuju. Jadi setuju bahawa pembayaran tidak dapat di proses melalui akaun bank syarikat dengan hanya satu penandatangan iaitu Dr Rizal sahaja, setuju?

COW-1: Ye, setuju.

iii. Cross- examination of COW-2:

GKA: Dan setuju bahawa setakat 18 July 2019, Tan Sri Dato' Seri Ahmad Ramli belum lagi didaftarkan oleh bank sebagai

penandantangan akaun- akaun bank syarikat.

COW-2: Setuju.

GKA: Setuju bahawa dalam tahun 2019, Tan Sri Dato' Seri Ahmad Ramli tidak sihat, maka sukar untuk mendapatkan beliau.

COW-2: Setuju.

GKA: Jadi Cik Puan Suhaila, setakat November 2019, hanya seorang penandatangan bank akaun syarikat iaitu Penuntut. Setuju?

COW-2: Ye, setuju.

GKA: Jadi dengan hanya satu penandatangan, maka pembayaran melalui akaun bank tidak dapat di proses, setuju?

COW-2: Setuju.

[20] The tenure of Tan Sri Dato' Seri Ahmad Ramli as Chairman of the Company had ended officially in July 2019 and remind merely as nominal Chairman until 31.12.2021 [as at CLB-3, page 14, letter from the Ministry of Transport dated 08.01.2020].

Employment of Encik Azman

[21] During the material time when the Claimant was serving as the Acting DG from 01.05.2019 until 24.07.2020.

21.1. no meetings of the Board of Directors were held; and

21.2. both the positions of DG and the Director of Administration & Finance **(DOAF)** were vacant.

[22] By way of a letter of offer dated 22.10.2019, the Claimant offered one Encik Mohamed Azman bin Mohd Aris (**Encik Azman)** the position of Senior Researcher/Head of Administration and Finance, which is a Grade AIII post. Encik Azman reported to duty on 01.11.2019 [COB3, pages 15 – 20, Encik Azman's letter of offer].

[23] Encik Azman did not submit a Statutory Declaration confirming that he was not an undischarged bankrupt.

THE COMPANY'S CASE

[24] The Claimant was appointed by the Board of Directors as Deputy General of the Company by a Letter of Appointment dated 10.12.2014 (the Employment Contract), together with a Job Description (JD) enclosed with the Employment Contract (as at CLB-1, pp.3-9).

[25] Whilst the Claimant pleads at Statement of Case (SOC), p.2, para 4) that he had "a legitimate expectation that he would be appointed as the DG", any such expectation the Claimant had was subject to the following:

a) clause (x) of the Employment Contract the Claimant was "subject to MIMA's rules and regulations with regard to discipline, attitudes or/and behaviours" (as at CLB-I, p. 5);

b) clause (xiv) of the Employment Contract the terms and conditions of the Claimant's employment "are subject to those listed in MIMA's Service Book (Peraturan-Peraturan dan Syarat Perkhidmatan MIMA 1993) and the Board of Directors directives from time to time" (as at CLB-I, p. 6) and;

c) para 5 of the JD the Claimant's JD was to, amongst others, assist the DG by ensuring that "internal procedures and processes are adhered to" and by ensuring that "sound financial practices are maintained and continuously enhanced' (as at CLB-1, p.9).

[26] In fact, the Claimant had himself admitted (as at Notes of Proceeding, pp. 174-175) that any legitimate expectation he had to be appointed as MIMA's DG were subject to the above. By actively breaching the rules and regulations of MIMA and failing to adhere to sound financial practices in his tenure with the Company, the Claimant honoured the terms of his Employment Contract in breach rather than in compliance. As such, he

cannot have harboured any reasonable expectation to be made the DG of the Company considering his misconduct.

[27] In this regard, it is important to observe that the Company did not make any irrevocable promise to appoint the Claimant as its DG. Rather, clause (ii) of the Employment Contract states: "The purpose of this appointment is for MIMA to prepare you for your subsequent role as Director General (DG)." During this preparatory period, the Claimant was obviously expected to adhere to MIMA's rules and regulations. However, he failed to do so. Hence, the Company acted justly in terminating the Claimant's employment.

[28] The conduct of both the Claimant and the Company shows that there was no promise made for the Claimant to be made the DG. The Claimant was only appointed to prepare him to be the DG, if and only if the BOD found him suitable. This is obvious from the following:

a) on 20.02.2018, the Company advertised for the post of DG. Rather than protest, the Claimant made a formal application to the Company for the position of DG on 14.03.2018 and attended an interview on 10.4.2018 (see SOC, p.3, para 6.1);

b) Thereafter, the BOD informed the Claimant that his application was unsuccessful and that a new DG was going to be appointed. The Claimant resigned from the Company vide letter dated 01.06.2018 (Claimant's Resignation Letter). When the appointment of the new DG fell through, the Claimant retracted his resignation vide letter dated 03.07.2018 (Claimant's Retraction of Resignation Letter) (as at Rejoinder, p.9, para 6.3(a));

c) When the new DG's appointment fell through, the BOD decided to extend the contract of the incumbent DG until April 2019. Rather than protest, the Claimant continued his employment with the Company in his position as Deputy DG. On 13.05.2019 after the contract of the incumbent DG ended, the Claimant, as the Acting DG of the Company (as at SOC, p.4, para 6.2). Again, the Claimant did not protest and continued his employment as Acting DG of the Company; and

d) in July 2020, the Company appointed a new DG for the Company. It was only now that, for the first time, the Claimant expressed dissatisfaction with the Company and alleged that he was not being fairly remunerated by the Company.

[29] From the chronology of events that the Company has, since 2018, always been looking for suitable candidates as its DG even while the Claimant was in its employ as Deputy DG and Acting DG of the Company. The Claimant did not protest and in fact continued in his employment. It is therefore clear that the Claimant's allegation of a legitimate expectation to be made DG now is an afterthought.

[30] On 01.08.2020 after the Company appointed the new DG, the Claimant indicated that he wished to meet the Company's Chairman. The meeting took place on 10.8.2020. The Claimant informed the Chairman that he was unhappy that the Company did not appoint him as DG. The Chairman heard the Claimant but did not commit the Company to any course of action.

[31] At about the same time, staff of the Company informed members of the BOD that they were uncomfortable with some of the directions given by the Claimant to them while he was the Acting DG of the Company. Grave allegations were made that the Claimant had committed acts of misconduct. The BOD did not wish to prejudge the issue and commenced internal investigations. Hence, the Company placed the Claimant on garden leave with full pay vide letter dated 19.8.2020 (1st Garden Leave).

[32] On 17.09.2020, the Company extended the 1st Garden Leave to (2nd Garden Leave). Simultaneously, the Company proposed that the parties enter into an amicable settlement for the Claimant to exit the Company. Pursuant to this, the Claimant prepared and forwarded a draft Settlement Agreement dated 30.09.2020 (the Settlement Agreement) to the Company.

[33] Discussions into the Settlement Agreement were initiated by the Company in good faith, but the Claimant made extortionate demands against the Company therein, demanding a sum of more than RM 3.3 million to exit the Company.

[34] On 15.10.2020, the Company extended the 2nd Garden Leave (3rd Garden Leave). A week later, the Company rejected the Settlement Agreement by letter dated 22.10.2020.

[35] After wrapping up its internal investigations amidst challenging obstacles (as there were nationwide Covid-19 lockdowns during the 1st Garden Leave, 2nd Garden Leave and 3rd Garden Leave and the Company's premises were, for the most part, non-operational), a letter of show cause was issued to the Claimant on 17.11.2020 (the Show Cause Letter).

[36] The Show Cause Letter contained six charges against the Claimant. The Claimant addressed the said allegations by his letter dated 07.12.2020 (Reply to Show Cause).

[37] On 02.04.2021, the Company found that the Reply to Show Cause was insufficient to disabuse the charges made against the Claimant and found the charges proved. Hence, the Company terminated the Claimant's employment with effect from 2.5.2021 (the Termination Letter).

DUTY OF THE INDUSTRIAL COURT

[38] The fact that the Company dismissed the Claimant is an undisputed fact and/or agreed by both parties. The issue, which remains disputed by the parties, is whether the Claimant was dismissed with just cause and excuse, in which the Claimant reiterates that the Claimant's employment with the Company was terminated without just cause and excuse.

[39] In this regard, refer to the case of **Yap Kit Seong V. Inti labs Sdn Bhd [2023] 4 ILR 610**, wherein it was held as follows:

''[11] In the case of **Wong Chee Hong V. Cathay Organization (M) Sdn Bhd [1988] 1 CLJ 45; [1988] 1 CLJ** (Rep) 298, the court had stated the followings: When the Industrial Court is dealing with a reference under s. 20, the first thing that the court will have to do is to ask itself a question (of)

whether there was a dismissal, and if so, whether it was with or without just cause or excuse.

[12] In a case involving retrenchment, the issues before the court essentially are whether there existed circumstances, which justified the retrenchment exercise undertaken by the Company and whether the Company had acted bona fide in retrenching the claimant. **Arkitek Akiprima Sdn Bhd V. Lianq Siew Fatt & Anor [2002] 1 ILR 150 (Award No. 11 of 2002)**. It is an established principle that the burden is on the employer to prove their case against the claimant and to justify the retrenchment exercise on a balance of probabilities. **Liew Soon Cheonq V. Aljazeera International (Malaysia) Sdn Bhd [2016] 4 ILR 360 (Award No. 1065 of 2016).** Reference also made to the case of **Ireka Construction Berhad V. Chantiravathan Subramaniam James [1995] 2 ILR 11** (Award No. 245 of 1995).

[13] It is incumbent for the Company to prove on the standard of balance of probabilities that it has grounds to justify its exercise of retrenchment. **(Telekom Malaysia Kawasan Utara V. Krishnan Kutty Sanguni Nair & Anor [2002] 3 CLJ 314)**.''

[40] In cases of unfair dismissal, the burden of proof lies with the Company to prove that the dismissal process adhered to proper procedures and that the Claimant was dismissed for just cause or excuse.

[41] Referring to the case **of Niall Atholl Murray V. Baker Hughes (Malaysia) Sdn. Bhd. & Anor [2018] MELRU 1194**, the court reaffirmed the principle that the burden of proof in an unfair dismissal case lies with the employer:

"**In an unfair dismissal case, the burden of proof is on the employer to discharge** as stated in the case of **Stamford Executive Centre V. Dharsini Ganesan [1986] 1 ILR 101**:

"It may further be emphasised here that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer. He must prove the workman guilty and it is not the workman who must prove himself not guilty. This is so basic a principle of industrial jurisprudence that no employer is expected to come to this Court in ignorance of it.".

[14] Further, in order to successfully defend an unfair dismissal claim, the burden of proof is on the employer to show that the reason for dismissing the employee falls into one of the two categories set out in subsection 20(3) of Act….

[177] the termination of the employee will be deemed to have been unjust unless an employer can prove that the employee was dismissed for a just cause or excuse. Even if an employer succeeds in proving that

there was a reason for the dismissal of the employee, it is for the Industrial Court to decide whether the dismissal was warranted or not in accordance with, inter alia, the principles of equity, good conscience and the substantial merits of the case (subsection 30(5) of Act 177).”

[42] The dismissal will be deemed unjust unless the employer can prove that the dismissal was for just cause or excuse. Even if the employer provides a reason for the dismissal, it is for the Industrial Court to determine whether the dismissal was justified, considering principles of equity, good conscience, and the substantial merits of the case.

[43] In light of the principles established in the cited cases, it is clear that the burden of proof in an unfair dismissal case lies with the Company. The Company must provide convincing evidence that the dismissal was conducted following proper procedures and that the Claimant was dismissed for just cause or excuse.

[44] The Company must demonstrate the validity of the dismissal with clear evidence of misconduct or other grounds for dismissal. Moreover, if the Company's reasons are unsubstantiated or fail to meet the required standard, the dismissal will be deemed unjust. The Industrial Court will assess whether the dismissal aligns with the principles of equity, good conscience, and the substantial merits of the case.

[45] Primarily, it is the duty of the Industrial Court to determine whether the termination or dismissal is with or without just cause or excuse. In **Goon Kwee Phoy V. J & P Coats (M) Bhd [1981] 2 MLJ 129, Raja Azlan Shah CJ**:

"If the employer chooses to give a reason for the action taken by him, the duty of the Industrial Court will be to enquire whether the excuse or reason has or has not been made out". His Lordship went on to hold that if the Industrial Court finds that this has not been proved, "then the inevitable conclusion must be the termination or dismissal was without just cause or excuse".

[46] The Federal Court in **Milan Auto Sdn. Bhd V. Wong She Yen [1995] 4 CLJ 449** held that the function of the Industrial Court in dismissal cases on a reference under section 20 is two-fold. Firstly, to determine whether the misconduct complained of by the employer has been established, and secondly whether the proven misconduct constitutes just cause or excuse for the dismissal.

THE LAW AND BURDEN OF PROOF

[47] Whenever a Company had caused the dismissal of the workman, it is

incumbent on the part of the Company to discharge the burden of proof that the dismissal was with just cause or excuse.

[48] It is trite law that the Company bears the burden to prove that the Claimant had committed the alleged misconduct and the conduct warrants the Claimant's dismissal. The Company must prove the Claimant guilty and it is not the Claimant who must prove himself not guilty.

[49] This principle was laid down by His Lordship Mr. Justice Raja Azlan Shah C. J. (Malaya) (now His Royal Highness the Sultan of Perak) in the case of **Goon Kwee Phoy V. J & P Coats (M) BHC) [1981] 2 ML J 129**. The relevant passages are found at p. 1 36 of the report :

"Where representations are made and are referred to the Industrial Court for enquiry, it is the duty of that court to determine whether the termination or dismissal is with or without just cause or excuse.

<u>If the employer chooses to give a reason for the action taken by him, the duty of the Industrial Court will be to enquire whether that excuse or reasons has or has not been made out. If it finds as a fact that it has not been proved, then the inevitable conclusion must be that the termination or dismissal was without just cause or excuse. The proper enquiry of the court is the reason advanced by it and that court or the High Court cannot go into another reason not relied on by the employer or find one for it</u>". [Emphasis added]

[50] In **Wong Yuen Hock V. Syarikat Hong Leong Assurance Sdn Bhd & Another Appeal [1995] 3 CLJ 344**, in delivering the grounds of judgment of the Federal Court, His Lordship Mr. Justice Mohd Azmi FCJ stated as follows at p.352 of the report: -

"On the authorities, we were of the view that the main and only function of the Industrial Court dealing with a reference under s. 20 of the Act (unless otherwise lawfully provided by the terms of the reference), is to determine whether the misconduct or irregularities complained by the management as the grounds of dismissal were in fact committed by the workman, and if so, whether such grounds constitute just cause or excuse.''

[51] The burden of proof in an unfair dismissal claim lies on the employer to prove on a balance of probabilities that the employee is guilty of the allegation or the reason for the dismissal. This principle was expounded in **Stamford Executive Centre V. Dharsini Ganesan [1986] 1 ILR 101, [Award No.263 of 1985] [1985] 2 MELR 245.**

"In a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer. The employer must prove the workman guilty and it is not the workman who must prove himself not guilty. This is so basic a principle of

industrial jurisprudence that no employer is expected to come to this Court in ignorance of it."

[52] In **Wong Chee Hong V. Cathay Organisation Malaysia Sdn Bhd [1987] 1 MELR 32; 1 MLRA 346**, the Supreme Court held that:

"Where the Industrial Court is dealing with reference under s20, the first thing that the Court will have to do is to ask itself a question whether there was a dismissal, and if so, whether it was with or without just cause or excuse."

[53] In the case of **Ireka Construction Bhd. V. Chantiravathan Subramaniam James [1995] 2 ILR 11** it was held that:

"It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be either a misconduct, negligence or poor performance based on the facts of case.

[54] In **Telekom Malaysia Kawasan Utara V. Krishnan Kutty Sanguni**

Nair & Anor [2002] 3 CLJ 314 at the Court Appeal held that the standard of proof for cases heard before the Industrial Court is "on the balance of probabilities":

''In our view the passage quoted from Administrative Law by H.W.R. Wade & C.F. Forsyth offers the clearest statement on the standard of proof required, that is the civil standard based on the balance of probabilities, which is flexible so that the degree of probability required is proportionate to the nature of gravity of the issue."

[55] In **Tyco Engineering and Construction (M) Sdn Bhd V. James Francis Trimble [2000] 2 MELR 678**, the Industrial Court outlined the law on the burden of proof as follows:

"The burden of proof that the dismissal was with just cause or excuse is on the employer which is on the balance of probabilities to adduce cogent and convincing evidence being the real reason by dismissing the employee. This is the principle of industrial jurisprudence".

[56] Based on the case of **Colgate Palmolive (M) Sdn Bhd V. Yap Kok Foong & Another Appeal [2001] 3 CLJ 9**, it now remains to be considered whether the termination was with just cause or excuse.

ISSUES WHICH WERE RAISED THROUGHOUT THE PROCEEDINGS

[57] The reference raises the primary issue of whether the Claimant's dismissal was with "just cause or excuse" under Section 20 IRA 1967. Concretely, the Court must determine if the Company established each of the alleged misconduct charges and, if so, whether the misconduct justified summary dismissal. Related issues include:

(a) Whether the Claimant committed the charged acts (Mr. Azman appointment, banking arrangement, etc.) as alleged;

(b) whether those acts breached lawful and reasonable orders or essential terms of employment;

(c) whether the dismissal was proportionate to any proven wrongdoing;

(d) the credibility of the parties' evidence. The Claimant also raised a "legitimate expectation" argument that he would be made DG, but this Court must consider it in light of his contractual terms. The parties did not dispute that the onus lies on the employer to prove just cause, and that proof is on the balance of probabilities.

Findings of Fact

a) Position of Signatories:

[58] The evidence establishes that by late 2019 the Claimant was effectively the sole authorised bank signatory at MIMA. The three directors named in his contract (Dr. Rizal himself, Puan Zaharizan Md. Zin, and Tan Sri Dato' Sri Ahmad Ramli were supposed signatories. On 24.10.2019, Puan Zaharizan gave notice of resignation as a Board member and signatory. Tan Sri Dato' Sri Ahmad Ramli (Chairman) was ill and never completed bank formalities. In cross-examination, the Company's own witnesses confirmed that by November 2019 only Dr. Rizal could sign MIMA cheques. COW-1 (Puan Aspamurni) agreed, "for November 2019", the company had only one signatory, Dr. Rizal," so payments could not be processed with only him. COW-2 (Puan Suhaila) likewise agreed that as of November 2019 the only available signatory was the Claimant. Thus, factually, the Claimant was the only active authorised signatory during the material period, apart from his own role.

b) Appointment and Duties of Encik Azman:

[59] In October 2019, the Claimant offered Encik Mohamed Azman bin Mohd Aris (Encik Azman) a position titled "Senior Researcher / Head of

Administration & Finance". Encik Azman began his duty on 01.11.2019. He reported to the Claimant. Under the Company's rules, a Director of Administration & Finance (DOAF) is a (Grade A-II) post requiring Board approval, whereas Head of Admin/Finance (Grade A-III) did not. The evidence shows that Encik Azman duties and benefits were essentially those of a DOAF. His contract (COB3, p.20) contained the DOAF job description. He was provided with a reserved parking bay paid for by MIMA (normally reserved for DG and DOAF). The Claimant admitted that although Encik Azman's title was "Head of Admin/Finance," for all intents and purposes he was acting as DOAF. In particular, COW-1 conceded that even though the official posts were vacant, it was company practice to keep paying parking spaces for DG and DOAF. She agreed that it was practical to allow Encik Azman to use the paid-for DOAF parking (incurring no extra cost) rather than leave it unused. The Director of Transport's circular (Pekeliling No. 2/2002) indeed restricts parking only to the DG and DOAF, but the evidence (including the Board resolution) shows MIMA did extend the privilege to Encik Azman as a practical measure.

c) Encik Azman's Bankruptcy Status:

[60] Encik Azman did not submit a Statutory Declaration of non-bankruptcy as required by the Handbook. In December 2019, Maybank

notified MIMA that Encik Azman could not be registered as signatory due to insolvency matters. The Claimant met the Maybank manager (Puan Fazlien) on 26.11.2019. He was told Encik Azman had an old debt now in the Insolvency Department, and that until cleared he could not sign. A lawyer was recommended to "clear" Encik Azman's record. The Claimant admitted he was told Maybank was no longer pursuing the debt itself but was unclear if Encik Azman was bankrupt. The Company ran an Insolvency Department search (as at COB7 p.18) and found Encik Azman was an undischarged bankrupt (the creditor was Dana Harta Urus Sdn. Bhd.)

[61] On the facts that the Claimant never obtained Encik Azman's SD nor independently verified his status. He assumed his staff had secured it. After learning of Maybank's refusal, the Claimant did not seek an alternative signatory or appoint the recommended lawyer during the nine-month period. He testified he "did not think to appoint someone else" because he believed Encik Azman's issue would be resolved. The Company's submissions characterize this as deliberate concealment, but the Claimant maintains he genuinely thought Maybank would allow Encik Azman to sign if given time (he later secured an attorney for that purpose).

d) Payment Arrangement ("Personal Accounts Scheme")

[62] With only one signatory (the Claimant), available, urgent payments became problematic. To meet payroll and bills between November 2019 and July 2020, the Claimant devised a temporary procedure. He and senior finance staff agreed to transfer funds from MIMA's account into the personal accounts of COW-1 (Puan Aspamurni) and COW-2 (Puan Suhaila), from which they would promptly pay MIMA's vendors. This method was documented by a series of "Payment Memos" (COB-4–COB-5) showing the purpose and amounts for each transaction. The payments made were legitimate company expenses (salaries, HRDF levies, project costs, etc.) all supported by invoices and approved cheques. The finance witnesses confirmed that these payments were indeed on behalf of MIMA and for its benefit. COW-1 and COW-2 agreed that no company funds were misused; each transaction was reversed within a day once payment cleared the personal account.

[63] Although MIMA's financial rules ordinarily require payments by crossed cheques and advance Board approval (as at COB-I pp. 163, 173), the Claimant explained that the arrangement was a stopgap due to lack of signatories and aborted Board meetings. The record shows the Claimant did not inform the Board in writing about this arrangement, but he did seek to

convene Board meetings, unsuccessfully. All scheduled Board meetings in December 2019 were aborted and the Board ignored the Claimant's urgent emails on 15.11.2019 requesting an emergency meeting after the Mr. Captain Sebastian incident. In cross-examination, the Claimant admitted it was a "serious situation" and agreed with questioning that he did not nominate another signatory during the nine months. He claimed he briefed the new Chairman (Dato' Seri Saripuddin) orally in January 2020, but no formal Board approval was recorded.

e) Incident with Captain Martin Sebastian:

[64] The undisputed facts are that on 14.11.2019 Captain Martin Sebastian (Captain Sebastian), (a Company Senior Fellow) attacked and injured the Claimant in the MIMA parking lot. The Claimant immediately lodged a police report on 14.11.2019, (as at COB-6 p.173) and sent an email on 15.11.2019, (as at CLB-2 p.218) to all Board members recommending Captain Sebastian be placed on immediate garden leave. He repeatedly urged the Board to act. A Board meeting was scheduled for 03.12.2019 (to consider Captain Sebastian's insubordination and this incident), but it was aborted. It was rescheduled for 18.12. 2019, but was also cancelled.

[65] In the face of continued Board inaction, the Claimant (as Acting DG) unilaterally appointed Messrs. Zul Rafique & Partners in November 2019 to

advice on the disciplinary measures to take against Captain Sebastian. He did so immediately after the incident and before any Board directive, stating it was to assist the Board's decision. After legal services were rendered, the Claimant authorized payment of RM6, 417.13 (as at invoice dated16.12.2019) and RM4, 313.35 (as at invoice dated 26.2.2020) to Messrs. Zul Rafique & Partners. Captain Sebastian was later convicted under Section 323 of the Penal Code. Voluntarily causing hurt on 20.01.2020. This confirms the gravity of Captain Sebastian's attack. The Claimant did not personally profit and used legal counsel to further MIMA's interests.

Legal Principles

[66] The Honourable Court's task on Section 20 of IRA 1967 reference is "two-fold":

(a) to determine whether the alleged misconduct is proved, and if so whether that misconduct constitutes "just cause or excuse" for dismissal. Under **Goon Kwee Phoy V. J & P Coats (M) Bhd [1981]2 MLJ 129 (Federal Court)**, if the employer's reason is given, the Court must inquire whether that reason is made out;

(b) if it is not proved on the balance of probabilities, the dismissal must be held without just cause. The employer bears the burden of proof,

and the standard of proof is the civil standard (preponderance of probabilities). By Section 30(5) IRA the Industrial Court must act "according to equity and good conscience", focusing on substantial merits rather than technicalities.

[67] It is also settled that an employee's single act of misconduct can justify summary dismissal if it strikes at the root of the contract. However, even when misconduct is proven, the sanction must be fair and proportionate. The Federal Court in **Norizan Bakar V. Panzana Enterprise [2013] 6 MLRA 613; 9CLJ 409; 6MLJ 605** reiterated that the Industrial Court has jurisdiction to consider whether dismissal was an excessive punishment for the proven misconduct. The "doctrine of proportionality" empowers the Court to substitute what it deems an appropriate penalty if dismissal would be too harsh. Similarly, appellate authority recognizes that repeated or serious breaches (e.g. involving public safety or trust) may justify dismissal but lesser misdeeds by long-serving employees may call for lesser sanctions.

Analysis

First Charge (DOAF Appointment without Board Approval):

[68] The Company alleges the Claimant tried to make Encik Azman a DOAF (Grade A-II) despite knowing he was a bankrupt, and then **circumvented** the requirement for Board approval by titling him "Head of

Admin/Finance" instead. It points out that Encik Azman's letter carried the DOAF job description and he received DOAF parking and a DOAF-range salary (RM8, 000 compared with his demanded RM10, 000). The Claimant admitted Encik Azman never swore the required SD for non-bankruptcy and that Encik Azman had asked for a higher salary; he argues Encik Azman was paid only as a Senior Researcher.

Findings of the Honourable Court of the first charge:

[69] The evidence shows the Claimant offered Encik Azman a Grade A.III role rather than Grade A-II. Encik Azman's letter (as at page 15 (COB-3) did use the DOAF job description, but Encik Azman's title and salary were that of a Grade A-III position. COW-1 admitted during cross that, Encik Azman's tasks were those of DOAF only "in name," and that the only difference was the name of the post. In context, the Board's actions suggest they did not consider this **subterfuge** a serious issue, on 12.11.2019 (shortly after Encik Azman's hire) the Board actually passed resolutions to add Encik Azman as an authorised signatory for all of MIMA's banks. The Board thereby tacitly accepted Encik Azman as DOAF or Head of Admin/Finance. The Claimant also promptly sought to regularize Encik Azman's authority.

[70] On balance of probabilities, this Honourable Court find this charge only partially proved. It is not disputed that Encik Azman was not asked for

the SD, a lapse under the Handbook. However, the Claimant's credible explanation is that he genuinely believed Encik Azman's employment was properly authorized, he testified that the board had approved Encik Azman's remuneration and parking. That Encik Azman was treated as Head of Admin/Finance by mutual agreement. No Board member contradicted this, and the Board's own resolution confirms Encik Azman's status. There is no evidence the Claimant knowingly defrauded the Board. Rather, he appears to have been overly optimistic that Encik Azman would clear his insolvency issues and thus did not seek formal reclassification.

Just Cause/Evaluation:

[71] Even if this conduct breached internal rules (appointing without an SD or formal Board approval), it involved no dishonesty or loss to the Company. The Claimant argues that he acted in good faith and that the position Encik Azman filled was indeed needed. In these circumstances, this Honourable Industrial Court find the misconduct was at most a procedural violation. Applying the case of **Menon V. Brooklands (Selangor) Rubber Co Ltd [1968] MRLA 844 [1968] 2MLJ 186**, only wilful disobedience of a lawful order or repudiation of contract terms would justify dismissal. Here, the Claimant did not wilfully deceive the Company or derive personal gain. He remained cooperative with the Board and ultimately engaged a lawyer to resolve Encik

Azman's status. The punishment of dismissal is manifestly disproportionate to this lapse. This Honourable Court accordingly conclude that First Charge, even if technically made out, does not amount to just cause for summary dismissal.

Second Charge (Failure to Verify Encik Azman's Bankruptcy and Installing Him as Signatory):

[72] The Company's charge is that on learning, Encik Azman might be bankrupt; the Claimant kept Encik Azman on and pushed to make him an authorised signatory. It points out that Maybank expressly told the Claimant, that Encik Azman could not be registered until cleared by the Insolvency Department and advised hiring a lawyer.

[73] The Claimant admitted he was told an old debt existed but claimed Maybank was no longer pursuing it. The Company argues the Claimant "suspiciously" failed to verify Encik Azman's status: he did not request the SD, did not hire the recommended lawyer, and did not run the Insolvency search, even though he urgently needed a second signatory. Indeed, when the Company later checked, Encik Azman's insolvency was confirmed by an outside creditor, contradicting the Claimant's account. The Company submits this charge is proved, the Claimant knowingly concealed Encik Azman's ineligibility and thus breached his duties.

Findings of this Honourable Court to the Second Issue:

[74] The Claimant acknowledges that Encik Azman never presented the required SD. He says he trusted his finance unit to obtain it and assumed Maybank would eventually allow Encik Azman to sign after the debt was no longer pursued. He insists he did not "know" Encik Azman was bankrupt. While the Claimant's testimony was inconsistent on whether he knew Encik Azman had to swear an SD, it was clear he had notice of a "debt in Insolvency Department" and was urged to have it cleared by a lawyer. He did later instruct a firm (Jagjit Singh & Co) to follow up on that debt after leaving MIMA.

[75] However, find the Company's allegations largely unproven. There is no direct evidence that the Claimant actively concealed anything, at most he was negligent in not following up. The finance witnesses agreed that Encik Azman was only prevented from signing at Maybank, not at other banks, and the Board had already approved him for three of four banks. The Claimant attempted to appoint Encik Azman, but when Maybank balked, he simply waited. This Honourable Court have no proof that Encik Azman remained "installed" as signatory (COB documents show he was never registered at Maybank). The Claimant's failure to run an Insolvency check or hire a lawyer, while imprudent, appears to be due to oversight rather than fraud.

[76] Credibility wise, the Claimant was forthcoming that he misunderstood the situation. The Company's attack on his truthfulness (calling him "very untruthful") is based on inferences not on any admission by the Claimant. On balance, the evidence falls short of showing "clear proof" (as required) that the Claimant knowingly allowed a bankrupt person to become signatory.

Just Cause/Evaluation of the Issues

[77] Even if a prima facie breach occurred (failing to verify Encik Azman's status), this was not a deliberate breach of an essential term. There was no financial loss to MIMA, Encik Azman had ceased to be signatory at the bank that mattered. The Industrial Court has frequently held that mere negligence or error (absent dishonesty) does not of itself justify dismiss. Here, the Claimant's motive was to ensure continuity of payments, not personal gain. Considering his length of service and the fact that the Board ultimately recognized Encik Azman's role, this Honourable Court conclude **that even if this charge were partially proved, it would not amount to "just cause or excuse" for summary dismissal**.

Third Charge ("Personal Accounts" Payment Scheme):

[78] The Company alleges that from Nov 2019 to July 2020 the Claimant "devised a scheme" directing MIMA funds into subordinates' personal bank accounts without BOD oversight. It criticizes the Claimant for not appointing

any alternative signatory or informing the Board of the arrangement. The particulars (in COB -) show 11 transactions passed through Puan Aspamurni and Puan Suhaila accounts. The Company concedes that no theft occurred ("no monies were stolen") but insists the arrangement itself was serious misconduct breaching MIMA's financial procedures. The Claimant defends that the "Payment Method" was an interim necessity, all banks had no available signatory (Encik Azman disqualified, since Tan Sri Ramli) and urgent payments had to be made. He argues he did not hide it in bad faith; on the contrary, he documented each payment and noted the urgency. He also notes COW-1's admission that the payments were company expenses and for the company's benefit.

Findings of this Honourable Court to this issue:

[79] The documents and testimony firmly establish the facts: the Claimant instructed Puan Aspamurni and Puan Suhaila to process payments via their personal accounts, with memos explaining each transaction. There is no dispute these payments were genuine. The witnesses agreed they were on behalf of MIMA (e.g. salaries, levies, conference costs) and the Claimant paid no overdrafts or fees. The Claimant's evidence (and the memos) shows all transactions were reversed within a day once cleared (COW-1 said the funds

"came out" by next morning). Thus, substantively, no misappropriation of funds occurred and no one personally profited.

[80] Procedurally, the arrangement did violate MIMA's Treasury rules (which require crossed cheques and Board approval for payments). The Claimant admitted he never informed the full Board in writing about this arrangement, though he did raise the issue with the Acting Chairman (who was briefed orally). The explanations for not selecting another signatory (waiting for Encik Azman) and for not convening the Board (meetings were aborted) are plausible. On credibility, the Claimant and witnesses gave consistent accounts of the scheme; the Company offered no contradictory evidence (the officers who could have approved a third signatory or called the Board were not called as witnesses).

Just Cause/Evaluation:

[81] Even assuming the arrangement breached internal procedures, it was done for no ill motive. The Industrial Court must ask, was it reasonable for the Company to dismiss him for this?

[82] Under the doctrine of proportionality, the fact the Claimant was in a pinch and acted to avoid default on payments is highly mitigation.

Comparable cases have distinguished between misconduct (fraud or gross negligence) and a mere error of judgment in management.

[83] Here, the Claimant involved his most senior deputies and created written trails, this was not a secret scheme but an improvised solution to an extraordinary problem (no authorized signatories). He faced a genuine dilemma and chose what he believed was best for the Company. In the circumstances, although this conduct was irregular, this Honourable Court find it does not justify dismissal. It is not a wilful disobedience of a lawful order, but a questionable exercise of managerial discretion in crisis. The sanction of summary dismissal would be excessive and unfair.

Fourth Charge (Conflict of Interest in Captain Sebastian Case):

[84] The Company charged that after the physical altercation with Captain Sebastian, the Claimant improperly appointed solicitors and paid them, despite his personal interest. The charge notes the Claimant had already declared a conflict during a May 2019 Board meeting (when Captain Sebastian's earlier insubordination was tabled).

[85] It argues that by November 2019, the Claimant's interest had only increased (he was the complainant in the police report) and thus he should have abstained from any decision on Captain Sebastian's case. Instead, he

pursued legal action for MIMA without Board approval and personally consulted outside counsel after leaving MIMA (as at Jagjit Singh's email at CLB-4 p.3).

[86] The Claimant's evidence is that he was the victim of a grave assault, which constituted a reportable act of insubordination. On 14.11.2019, he lodged a police report and at 3:24 a.m. on 15.11.2019, he emailed all Directors describing the incident and recommending Captain Sebastian be placed on garden leave. His email urged the Board to convene urgently, the Board members did call him back, and he reiterated the need for a meeting.

[87] The Board scheduled a meeting for 03.12. 2019 to address Captain Sebastian's misconduct and this incident, but it did not take place. By mid-December, the Board's attempts to meet were abortive. Therefore, as Acting DG he took the initiative to retain Messrs. Zul Rafique & Partners in late November 2019 to advise on disciplinary proceedings.

[88] He testified that the purpose was to help the Board decide what to do. It was not to prosecute Captain Sebastian personally but to seek legal guidance. He then authorized payment of the firm's invoices once received. The Claimant did not hide these steps, he had already sent his

email to the Board and the retention of counsel was for legal advice for the Company.

Findings of the Honourable Court to this issue:

[89] The facts of the Captain Sebastian incident are undisputed and well documented. The Claimant's proactive steps (reporting to police, emailing directors, hiring counsel) were transparent. There is no evidence Captain Sebastian's employment or the payments to Messrs Zul Rafique & Partners went forward without the Board's knowledge. Indeed, by January 2020 Captain Sebastian was in court and later convicted. The Claimant's earlier declaration of conflict (May 2019) related to a different matter, he maintained he did not treat Captain Sebastian's criminal case as a "personal benefit" issue but as a serious disciplinary matter requiring legal input. No Company policy or law is shown that he could not engage a lawyer in this emergency.

Evaluation of this Honourable Court

[90] This Honourable Court find that while the Claimant may have had a conflict of interest (being the complainant), his actions on Captain Sebastian's case were effectively part of his duty as Acting DG. The Board's own neglect (failure to meet for two months) forced the Claimant to act on an urgent situation.

[91] There is no suggestion he benefited personally (indeed, he later pursued Captain Sebastian's appeal privately). On balance of probabilities, this charge is not proved as misconduct warranting dismissal. At most, it shows a breakdown in communication, it does not betray disloyalty or malice by the Claimant. Terminating an employee for addressing a violent assault upon himself (and attempting to protect the Company) would be inequitable. No just cause is shown.

Legitimate Expectation (Promotion to DG):

[92] The Claimant also argued he had a legitimate expectation to become DG. This Honourable Court note that any such expectation was expressly limited by his contract clauses, which subjected the promotion to "MIMA's rules and regulations". The law is that a "legitimate expectation" arises only if an employer's promise or consistent policy gives rise to a contractual right or precondition. Here, the Company consistently advertised the DG post and chose other candidates (2018, 2020) while the Claimant did not object at the time.

[93] He even offered to interview for the position. In any event, a mere expectation without contractual or statutory basis cannot convert a dismissal for purported misconduct into unfair dismissal. Thus, this argument does not

assist the Claimant, and in our view, no legitimate expectation to be appointed DG was established.

Credibility and Proportionality

[94] Having considered the testimony and documents, this Honourable Court find the Claimant's evidence generally credible. He gave detailed contemporaneous evidence of his actions, and Board emails (as at CLB--2, COB6) and the payment memos corroborate much of his account. The finance officers' statements (which was COW-1, COW-2) during cross-examination supported his version of the financial arrangements.

[95] In contrast, the Company's case relied heavily on inferences from the Claimant's omissions (as not running insolvency checks), rather than contradictory factual testimony. There are no evidences from the witness, COW-1, COW-2; COW-3 testified that the Claimant was deceitful. In particular, the Company did not call as witnesses any of the senior Board members (such as Tan Sri Dato' Sri Ramli or Dato' Mohamed Suffian, who led the relevant committees). On this record, there is insufficient evidence of mala fides or ill intent by the Claimant. His errors, if any, appear to have been made in good faith to address urgent issues.

[96] In weighing the punishment, this Honourable Court must apply the equitable "substantial merits" test. Even if the Claimant's actions technically violated Company rules, they were done under duress of circumstances and with the aim of preserving Company operations. The Claimant had six (6) years three (3) months and one (1) day years of service, a clean record, and no previous warnings. He had been "groomed" for leadership, which suggests the Board valued his contribution. Termination of such a long-serving executive for procedural lapses (none involving dishonesty or loss) would be unduly harsh. Under **Norizan Bakar V. Panzana Enterprise [2013] 6 MLRA 613; 9CLJ 409; 6MLJ 605** and related jurisprudence, the Court must substitute a just penalty when appropriate.

[97] This Honourable Court conclude that even if some misconduct is found, the sanction of summary dismissal is manifestly disproportionate. A reasonable employer would not have dismissed an employee of the Claimant's standing for the irregularities in question.

Conclusion and Award

[98] For the above reasons, the industrial court finds that the Company has failed to prove that the Claimant's dismissal was with just cause or excuse. The misconduct charges were either not established or not of such

gravity as to justify summary dismissal in fairness. The dismissal is therefore **without just cause or excuse**.

Doctrine of Proportionality of Punishment

[99] It is settled law that where the misconducts were proven, the Industrial Court is duty bound to move on to consider whether the proven misconducts constitute just cause or excuse for the dismissal as stated in the Federal Court cases of **Wong Yuen Hock (Supra) And Milan Auto (Supra).**

Punishment Disproportionate to the Misconduct.

[100] In support, we rely on the Federal Court authority of **Norizan Bin Bakar V. Panzana Enterprise Sdn Bhd [2013] 6 MLJ 605 ("PANZANA case")** which held as follows in the head notes at p.606 of the report.

(3) In deciding whether a proven misconduct constituted just cause or excuse for dismissal the Industrial Court had power to decide, using the doctrine of proportionality of punishment which was inbuilt into the IRA and acting in accordance with equity, good conscience and the substantial merits of the case as mandated by s 30(5) of the IRA, whether the punishment of dismissal was appropriate or too harsh in the circumstances (see paras 35-36 & 39) of the case.

(4) The Industrial Court could therefore substitute its own view, in place of the employers, as to what was the appropriate penalty for an employee's misconduct and go on to decide the relief to be granted by taking into account the claimants' contributory misconduct (see para 39).''

[101] The Industrial Court in **Kesatuan Kebangsaan Pekerja-Pekerja Bank Semenanjung Malaysia V. Malayan Banking Bhd [2012] 1 MELR 469 at p.480** of the report had discussed on the reasonableness of the employer's action in dismissing an employee. Referring to the judgment in **Southern Bank Bhd V. Kamarudin Othman and Anor [2005] 6 CLJ 379** which followed the **Federal Court decision in Ng Hock Cheng V. Pengarah Am Penjara & Ors [1998] 1 CLJ 405**, the Industrial Court went on to state that the principle of proportionality of punishment must be reconciled with the test of reasonableness.

[102] In **Foley V. Post Office HSBC Bank Plc. (Formerly Midland Bank Plc.) V. Madden [2000] I.C.R 1283**, the Court of Appeal stated as follows on the test for a reasonable employer at pp. 1292 - 1293.

"It was also made clear in Iceland Frozen Food Ltd, at pp.24G-25B that the members of the tribunal must not simply consider whether they personally think that the dismissal is fair and they must not substitute their decision as to what was the right course to adopt for that of the employer. Their proper

function is to determine whether the decision to dismiss the employee fell within the band of reasonable responses "which a reasonable employer might have adopted."

‘’In one sense it is true that, if the application of that approach leads the members of the tribunal to conclude that the dismissal was unfair, they are in effect substituting their judgment for that of the employer. Bui that process must always be conducted by reference to the objective standards of the reasonable employer which are imported by the statutory reference to their own subjective views of what they would in fact have done as an employer in the same circumstances.”

(Emphasis added)

[103] In the case of **Foley V. Post Office** (Supra), the Court of Appeal had stated that the test of reasonableness or unreasonableness action of an employer must always be conducted by reference to the objective standard of the hypothetical reasonable employer and not by reference to their own subjective views of what they in fact would have done as an employer in the same circumstances.

[104] In an earlier Court of Appeal decision in **Union of Construction, Allied Trades and Technicians V. Brain [1981] ILR 542**, his Lordship

Donaldson L. J. had this to say whether the employer had acted reasonably or otherwise at p.550 of the report as follows:

"Has the employer satisfied us that in the circumstances (having regard to equity and the substantial merits of the case) he acted reasonably in treating this conduct as a sufficient reason for dismissing the employee" see subsection (3). Whether someone acted reasonably is always a pure question of fact, so long as the tribunal deciding the issue correctly directs itself on the matters, which should and should not be taken into account. However, where Parliament has directed a tribunal to have regard to equity - and that, of course, means common fairness and not a particular branch of the law - and to the substantial merits of the case, the tribunal's duty is very plain. It has to look at the question in the round and without regard to a lawyer's [as at page 36 of 54] technicalities. It has to look at it in an employment and industrial relations context and not in the context of the Temple and Chancery Lane. It should therefore be very rare for any decision of an industrial tribunal under this section to give rise to any question of law. In addition, this is quite plainly, what Parliament intended. Of course, a tribunal can approach this simple question in a way, which is other than that which Parliament intended. However, where Parliament has given to the tribunal so wide a discretion, in my judgment, appellate courts should be very slow indeed to find that the tribunal has erred in law. When I refer to appellate

courts, I do not mean only the Court of Appeal, because, although the Employment Appeal Tribunal calls itself a tribunal, it, like its predecessor, is declared by statute to be a superior court of record. It is now, after all, nearly 10 years since it was pointed out in Earl v Slater & Wheeler (Airline) Ltd. [1972] I.C.R. 508 that the reasonableness or otherwise of an employer's conduct must depend upon what he knew or ought to have known when he dismissed the employee.

Punishment Too Harsh

[105] In considering the reasonableness or unreasonableness response of the employer, another Division of the Industrial Court in **Ricwil (Malaysia) Sdn Bhd V. Tham Chai Wan [2004] 3 ILR 293**, after perusing **Union Construction, Allied Trades & Technician (Supra) And Foley V. Post Office (Supra)** decided that, taking into consideration the circumstances under which the Claimant committed the offence, punishment of dismissal was too harsh. The relevant passage is found at pp.302 303 of the report.

"I am only able to consider the question of fairness of the company's response in the context of the reason found for the 37 of 54 dismissal, which in the instant case is the claimant's retort to COW-1 to "sack her". A punishment of dismissal for an act of insubordination as in the instant case arising under the circumstances described will be totally out of proportion to

the graver men of the offence. Moreover, in this connection, I am aided by OP Malhotra the Law of Industrial Dispute, Vol 2, 6th End, at pp. 1294 and 1295 where the learned author writes:

In order to avoid the charge of vindictiveness, justice, equity and fair play demand that the punishment must always be commensurate with the gravity of the offence charge. [as at **Rama Kant Misra V. State of Uttar Pradesh 1982 Lab IC 1790, 1792 (SC)**]

Based on the discussion thus far the reasonable and inescapable conclusion cannot be other that the company had no just cause or excuse for the dismissal of the claimant. That being so, I find the claimant's dismissal by the company to be wrong."

[106] The High Court in **Sunmugam Subramaniam V. Jg Containers (M) Sdn Bhd & Anor [2000] 6 CLJ 521**, overturned the Industrial Court's decision that upheld the employer's decision to dismiss the Claimant for misconduct on account of severity of the punishment.

[107] His Lordship Faiza Thamby Chik J in **Sunmugam's** case (Supra) quoted with approval at p. 535 of the report the dicta of M.P. Thakkar in the case of **RM Parmer V. Gujarat Electricity Board [1983] 1 CLJ 261** as follows.

"When different categories of the penalties can be imposed in respect of the alleged fault one of which is dismissal from service, the disciplinary authority perforce is required to consult himself for selecting the most appropriate penalty from out of the range of penalties available that can be imposed, having regard to the nature, content and gravity of the default. Unless the disciplinary authority reached the conclusion that having regard to the nature, content and magnitude of the fault committed by the employee concerned it Should be absolutely unsafe to retain him in service the maximum penalty of dismissal cannot be imposed. If a lesser penalty can be imposed without, seriously jeopardising the interest of the employer the disciplinary authority cannot impose the maximum penalty of dismissal from service. He is bound to ask his inner voice and rational faculty why a lesser penalty cannot be imposed".

[108] In the case of **Abu Samah Othman V. Oriental Assemblers Sdn Bhd [2007] 3 ILR 1**, the Johor Baharu High Court held that the punishment of dismissal was disproportionate to the offence that it merits the Court's intervention herein. His Lordship Syed Ahmad Helmy J stated as follows at p.6 of the report:

"[16] Again on the principles of judicial review as laid down by the Court of Appeal decision in **Menara Pan Global Sdn Bhd V. Arokianathan a/l Sivapiragasam [2006] 2 CLJ 501** same is distinguishable in that it did not

take into account the Federal Court decision on Ramachandran (supra) and also it did not touch on the issue or proportionality of sentence"

[17] In any event to my mind the punishment meted out is disproportionate to alleged offence and bearing in mind that the applicant had been working for the respondent for nine years and there was no complaint about his work performance the punishment of dismissal is rather harsh as intercase of **Sunmugam Subramaniam V. JG Container (M) Sdn Bhd & Anor [2000] 6 CLJ 521; Ricwil (Malaysia) Sdn Bhd V. Tham Chai Wan [2004] 3 293**."

Band of Reasonableness

[109] There is a band of reasonableness, which a reasonable employer should consider before reaching a decision to impose the extreme penalty of dismissal. In deciding whether the Company had acted reasonably, refer in the dictum in **Foley V. Post Office (Supra)** which stated that reasonableness or unreasonableness action of the employer must be conducted by reference to the objective standard of the hypothetical reasonable employer and not by reference to their own subjective views of what they in fact would have done as an employer in the same circumstances.

[110] Rely on the dictum of M.P. Thakkar J in the case of **RM Parmer**

V. Gujarat Electricity Board [1983] 1 LLJ 261 cited in **Sunmugam's** case (Supra) which stated as follows at p.535 of the report.

"If a lesser penalty can be imposed without seriously jeopardising the interest of the employer, the disciplinary authority cannot impose the maximum penalty of dismissal from service. He is bound to ask his inner voice and rational fault why a lesser penalty cannot be imposed.''

(Emphasis added)

[111] The Industrial Court in **Ang Tin Huat V. The Store (Malaysia) Sdn Bhd [2014] 1 ILR 85 ("The Store case")** found the claimant guilty as charged for the 'unauthorised" Use of company money and stated that he could not be absolved himself of accountability for the use of financial assets or physical property of the company. Therefore, the claimant had been wrong from a perspective of the fiduciary relationship existing between the employer and employee.

[112] The learned Chairman in **Ang Tin Huat (supra)** also went on to discuss the fiduciary nature of relationship by referring to decided cases and works of well-known authors as follows at pp. 100-102 of the report. In **Azahari Shahrom & Anor V. Associated Pan Malaysia Cement Sdn Bhd [2010] 1 ILR 423 (Award No. 101 of 2010 p. 436)** this court was of the view that:

"It is trite that the association between employer and employee out of necessity is fiduciary in nature. There has to be mutual trust and confidence that one would deal with the other in all fairness and rectitude over the rights and obligations flowing between the parties under the employment agreement. If one does an act or commits an omission, which is inconsistent with that fiduciary relationship, then that act or omission will be mala fide. This principle has equal application as against the employer and the employee in their respective position viz. the employment relationship between them.''

[113] Further, at paras 47, 48 and 49 at p. 105 of the report, the learned Chairman held that in equity and good conscience and the substantial merits of the case, the dismissal was excessively harsh, unjust and disproportionate. The relevant passage is reproduced below:

[47] ''Applying the test as prescribed in **Taylor V. Parsons Peebele Nei Bruce Peebles Ltd (supra)**, and if viewed in equity, good conscience and the substantial merits of this case; the termination in this instance appears excessively harsh, and disproportionate, taking into consideration the overall fidelity owed by the claimant to the company in the general scheme of things;

[48] That there were other sanctions available in the "armoury of punishment" open to the company is trite. That they chose the ultimate one and applied it against the claimant in this instance was somewhat draconic,

to say the least. Surely after 28 years of loyal service the claimant deserved a modicum of mercy; and

[49] Hardly a reasonable reaction from a reasonable employer in the whole circumstances of the case."

[114] In regard to the doctrine of proportionality, his Lordship Lee Swee Seng J, in THE STORE case referred to the Federal Court decision in PANZANA case and stated as follows at p. 17 of the report:

"[42] Recently the Federal Court has clearly approved the application of the doctrine of proportionality in determining whether the dismissal of a workman can be upheld in a reference under s. 20(3) IRA. In other words, in determining whether the dismissal was for a just cause and excuse, the Industrial Court is entitled to ask itself if the dismissal, being the maximum punishment that could be meted out by an employer for the misconduct of its employee, is proportionate to the severity of the misconduct that the employee is guilty of. In the event that it is not, the Industrial Court would be perfectly justified in holding that the dismissal was without just cause and excuse in that it was disproportionate to the gravity of the misconduct and in assessing compensation, the Industrial Court may take into consideration the contributory conduct of the dismissed employee.''

[115] The Federal Court has placed the doctrine of proportionality in such cases beyond a pale of doubt in the relevant dicta of His Lordship Raus Sharif PCA in **Norizan Bakar V. Panzana Enterprise Sdn Bhd [2013] 9 CLJ 409**.

''The whole scheme and structure of managing industrial relations and disputes for the private sector under the IRA is that the doctrine of proportionality is applicable in any consideration as to whether dismissal is for just cause and excuse. Thus an employer under a reference under s. 20(3) IRA has both the burden of Droving the misconduct and also justifying that the dismissal is proportionate in the circumstances of the case."

(Emphasis added)

[116] The Industrial Court in **Warren Zawawi Hussein V. Wagner Global Services (M) Sdn Bhd [2012] 3 ILR 34,** found that the employee had lied to the Company's chairman when he denied sending carbon copies of his email to other officers in the company.

''The company stated that despite of giving the claimant 3 opportunities to speak the truth, the claimant was adamant and maintained his position.''

''The claimant explained that it was his worst human error and was due to his mental and physical exhaustion.''

[117] The Industrial Court found for a fact that the claimant had indeed committed the misconduct. Then it went on to consider whether the dismissal

was with just cause or excuse. The relevant passage at page 51 is reproduced below:

"[39] In England, there is a need of the employer to have acted reasonably in dismissing an employee. In the case of **Sandhu V. DES [7978] 1 RLR 208** it was held that the tribunal must still go on to consider whether the dismissal was reasonable. In the words of Sir John Donaldson, MR the Court has to consider whether the dismissal was fair on the facts before it.''

[118] In **Sundararaj M Ramasamy & Ors V. Nittsu Transport Services (M) Sdn Bhd (2014) 2 MELR 268**, the Learned Chairman held that the Company has established the misconduct of illegal picket and that the said illegal picket was a serious misconduct. However, on the quantum of punishment, the Court held that it was too harsh and excessive and held the dismissal to be without just cause or excuse.

[119] Using the doctrine of proportionality of punishment, the court next consider the issue as to whether the punishment of dismissal was too harsh in the circumstances.

[120] Following these principles, the claims of the following claimants are allowed applying the test under the second limb of Milan Auto.

Claimant's six (6) years and three (3) months of Unblemished Service Is a Relevant Factor

[121] In reaching its decision that the dismissal was excessive and harsh though the Claimant had past record of misconduct, the learned chairman in **Wan Encik Azman Wan Hussein V. Perusahaan Sadijr Timah Malaysia (Perstima) Berhad [2013] 3 ILR 97** held that it was without just cause or excuse.

[122] In the case of **Ahmad Kamaruzaman Azizan V. Continental Tyre (M) Sdn Bhd) [2015] 4 ILR 489** the Court found that the Claimant's misconduct of leaving the work place earlier without any approval form his superior was proven. However, the Learned Chairman held that the punishment of dismissal was harsh and without just cause or excuse. The relevant passage at pp 506-507 of the report is reproduced below:

‘’[54] The next issue is whether this established misconduct entitles the company to dismiss the claimant on the basis of just cause or excuse; i.e., was the ultimate sanction in industrial jurisprudence appropriate in this case.

[55] It must be borne in mind that in deciding on the appropriate punishment for misconduct the company ought to be bound by the rules of fairness. To do this the company must demonstrate that it had fully or at least substantially appraised the actual breaches or misconduct perpetrated by the claimant as against his antecedents with the company. Did he have a record

of past employment infringements? What was the nature, the magnitude or seriousness of those infringements? Was he adequately warned, advised or counselled over his previous infringements The failure of the company to adduce evidence on the prevailing state of affairs and particulars that were taken into account and/or evaluated, peculiar to the claimant, leading to the decision to terminate renders the company's action subject to the intervention of this court Equity and good conscience in the whole circumstances of this case demand it; and even more so given the long years of service rendered by the claimant to the company and duly acknowledged by them on the very day of the dismissal! In the premises, it is the ruling of this court that the punishment of dismissal in the instant case was harsh and for that reason it is hereby set aside as being without just cause or excuse".

[Emphasis added]

No Financial Loss and Reputation of Company Not Tarnished

[123] There was no evidence at all to show that the Company had suffered any financial loss or its reputation tarnished as a result of the Claimant's alleged misconduct.

[124] In this present action, the Claimant did not have any history of misconduct, which were proven by the Company; therefore, the Company's

decision to terminate the Claimant's employment was procedurally unfair and done is an unjust manner.

[125] This Court is of the view that the following facts should also be taken into consideration in making an appropriate order:

a) The Claimant has served the Company for over six (6) years and three (3) months and one (1) day clean disciplinary record. During the Claimant's tenure of service, the Claimant had no disciplinary issues with the Company.

[126] In the present case, as mentioned earlier, this Court is satisfied on a balance of probabilities that the Company had failed to made out the case of misconduct against the Claimant. As such, the termination of the Claimant is now rendered as null and void.

[127] In addition, when carrying out any disciplinary actions, the employer must ensure that the existing law, rules and procedures are adhered to. In this regard, it has been the practice of the Industrial Court to look at the Code of Conduct for Industrial Harmony 1975 ("the Code") in determining the issue of fairness. Though the Code has no legal force and its acceptance is voluntary, it is still relevant for the purpose of considering the overall reasonableness of the employer's action.

[128] Clause 41 and 42 of the Code is a provision on Procedure for Disciplinary Action as follows :

"41. An employer should ensure that a fair, effective and expeditious procedure exists for dealing with disciplinary matters. Such procedure may be established in consultation with the employees' representatives or trade as appropriate. The employer should define and make known to each employee the rules of work and the disciplinary action, which may follow if they are broken. Penalties should be graduated according to the seriousness of the offence. An employee should not, be dismissed except in cases of gross misconduct, be dismissed for a first offence.

42. The disciplinary procedure should be in writing and be made known to each employee. The proceedings should be conducted in accordance with the rules of natural justice"

[129] The High Court in **Credit Corporation (M) Bhd V. Choo Kam Sing & Anor [1998] 2 MELR 256** noted that although the Code has no legal force, it is nevertheless relevant factor to be looked at for the purpose of considering the overall reasonableness of the employer's action in dismissal cases. In fact, section 30(5A) of the Industrial Relations Act 1967 empowers the Industrial Court in making an award to take into consideration the requirements of the Code.

[130] In view of all the above and after taking into consideration the evidence adduced during the Trial , this Court is satisfied on a balance of probabilities that the Company had failed to prove that the termination of the Claimant was with just cause or excuse.

[131] Furthermore, in the case of **Jessica Barthy Das Sivadas V. American Express (M) Sdn Bhd [2023] 4 ILR 374**, it was held as follows: -

'' [14] The burden of proof in an unfair dismissal claim lies on the employer to prove on a balance of probabilities that the employee is guilty of the allegation or the reason for the dismissal. This court will now refer to the case of **Ireka Construction Berhad V. Chantiravathan Subramaniam James [1995] 2 ILR 11 (Award No. 245 of 1995)**, in which case it was stated that:

''It is a basic principle of industrial jurisprudence that in a dismissal case the employer must produce convincing evidence that the workman committed the offence or offences the workman is alleged to have committed for which he has been dismissed. The burden of proof lies on the employer to prove that he has just cause and excuse for taking the decision to impose the disciplinary measure of dismissal upon the employee. The just cause must be either a misconduct, negligence or poor performance based on the facts of the case. It went further to state that:

"The only issue for this court to determine now is whether the Companies, on a balance of probabilities has established the poor

performance of the claimant. As far as unsatisfactory performance is concerned the Industrial Court has laid down that in order to justify the dismissal of the claimant on this ground, the Company has to establish:

(ii) that the claimant was warned about his poor performance;

(iii) that the claimant was accorded sufficient opportunity to improve; and

(iv) that notwithstanding the above, the claimant failed to sufficiently improve his performance.''

However, the Company had failed to establish the above mentioned requirements, as it is undisputed that the Company had failed to adduce any positive evidence to show that the Claimant was warned pertaining to any of the alleged acts. Subsequently, the Claimant was suspended immediately after the allegations were raised by the Company.''

Whether The Claimant's Dismissal by the Company Was Proportionate

[132] This Honourable Court found that the Claimant's dismissal from the Company was not proportionate as it was done in a haste and sudden manner.

[133] Refer to the above mentioned case of Gartner Research & Advisory (Malaysia) Sdn Bhd wherein in holding that the Company needs to strike a balance between severity of an employee's conduct and the sanction imposed, the court held as follows:-

[32] Further, in the Court of Appeal case of **Ngiam Geok Mooi V. Pacific World Destination East Sdn Bhd [2001] 3 ILR 229**, the Court explained the need to strike a balance between severity of an employee's conduct and the sanction imposed.

[33] In Ngiam's case the appellant was dismissed from her employment for insubordination of her superior's orders which are as follows:

> "(i) refused to follow her superior's instructions to make payment for a Companies-related expense and to make adjustments to the Budget 2009/2010; and (ii) wrote an e-mail saying that she won't report to the said superior."

[34] In the said case, the Court of Appeal found that the employer's decision to dismiss the employee was harsh and grossly disproportionate to the misconduct committed having taken into consideration the following factors:

(i) the appellant had worked for the respondent for 20 years;

(ii) the appellant had an unblemished employment record;

(iii) the appellant was instrumental in setting up the respondent's

headquarters in Penang and the branch office in Kuala Lumpur;

(iv) the appellant's tireless and faithful service to the respondent is evidenced by the profits earned by the respondent;

(v) the appellant had committed a single act of insubordination; and

(vi) the said insubordination was the appellant's first misconduct in her long years of service. There was no history of past misconduct, even no warning was given to her at any point of time.

[134] The Claimant refers to the case of **Benjamin Lim Siaw Ming V. Syarikat Sesco Berhad [2023] 2 ILR 591**, in holding that the employee's dismissal was not proportionate when other means were less severe sanctions were available, the court held as follows:-

''Proportionality of Punishment

[87] The claimant raised the issue of proportionality of punishment and submits that the punishment of dismissal was too harsh and disproportionate to the seriousness of the charges of misconduct.

[88] The Companies, on the other hand submits that the dismissal of the claimant was with just cause and excuse.

[89] The Federal Court in **Norizan Bakar V. Panzana Enterprise Sdn Bhd [2013] 9 CLJ 409; [2013] 6 MLJ 605** held that the Industrial Court is duty bound to consider proportionality of punishment when exercising its powers under s. 30(5) of the Industrial Relations Act 1967 to act according to

equity, good conscience and substantial merits of the case.

[90] The proportionality principle requires the court to strike a balance between the severity of an employee's conduct and the sanction imposed. In the present case, whether such alleged misconducts constitute just cause or excuse for the dismissal of the claimant from the Companies?

[91] In the present case, this court is of the view that the following facts should also be taken into consideration in making an appropriate order:

(i) the claimant has served the Company for 13 years with clean disciplinary record. During the claimant's tenure of service, the claimant had no disciplinary issues with the Companies;

(ii) the claimant was also the victim of the scam whereby he did a Master's Program in Human Resource for three years which cost him a sum of RM25,000;

(iii) despite the involvement of the other employees, only the claimant and one Lucilla Mary Joseph were terminated from the Companies;

(iv) COW3 who was also involved in the conduct of the career development programs was never issued with any warning letter or subjected to any disciplinary action by the Companies;

(v) despite the Companies' finding of negligence against COW4 who was the Companies' engineer, COW4 was only issued with a warning letter;

(vi) COW5 and COW8 who were responsible in executing the contract agreements to appoint PSSB as the course provider were only issued with a warning letter, and were promoted in their respective positions in the Companies; and

(vii) although the Company found that COW7 was negligent, COW7 who was the Companies' Manager of Legal Affairs was only issued with a warning letter and was promoted by the Companies.

[92] In passing a just and appropriate order, the Industrial Court is obliged to do a balancing exercise. It was held by the Court of Appeal in **Tan Poh Thiam V. Industrial Court of Malaysia & Anor [2015] 1 LNS 1534** (Civil Appeal J-01-414-12-2013) that:

[4] Industrial law jurisprudence does not permit any form of oppressive conduct on the part of an employer having the objective of dismissing the employee on "just cause or excuse" based on trivial allegations; based on matters that could have been dealt with appropriately with proper operating system or management system instead of taking drastic steps to dismiss the employee.

''The Industrial Court in the Malaysian context is obliged to do a balancing exercise taking into account such factors as the nature of complaint the conduct of the employer, the operating and management system that is in place, the reason advanced by the employee as well as his conduct, and the

gravity of the allegation; in order to ascertain whether the employee's act or omission qualifies as a misconduct to attract s. 20 on Industrial Relations Act 1967 (IRA 1967). The proposition is fortified by s. 30 of IRA 1967.''

[93] In the present case, the dismissal of the claimant was without just cause or excuse on the ground that the charges were defective ab initio and therefore there is no further need to look into the merits of the Company's case. This court holds that the dismissal of the claimant constitutes unlawful termination and was in breach of the principles of natural justice.

[94] In any event, this court is convinced that the claimant could have been dealt with appropriately with proper management system. The Company could have opted for other lesser forms of punishment instead of taking drastic steps by terminating his service. Hence, it is now safe to conclude that the dismissal of the claimant was disproportionate to the alleged misconducts.

[95] In **Goodyear Malaysia** Bhd and National Company of Employees in **Company Manufacturing Rubber Products (Award No. 88 of 1986)** it was held that;

''It must be noted that not all misconduct deserves dismissal, which has been described as the capital punishment in industrial relations. Important circumstances, which mitigate the offence of the workman, should be taken into account by the employer before he can be said to have made a fair and

reasonable decision to dismiss. For example, a workman's past record of good service, or the management's own actions or omission which contributed to the misconduct, are mitigating factors which any reasonable employer would take into account before dismissing length and quality of service, good untainted record, and past service awards and recognition must also be taken as extenuating circumstances when an employer decides the appropriate punishment for the misconduct.

[135] In this present instance, the Company had dismissed the Claimant from his employment in a haste and arbitrary manner, in which the allegations were raised in a sudden manner and were done in bad faith by the Company. The Company could had dealt with the allegations (if proven) in a less severe fashion such as providing a proper management and/or understanding the issues surrounding its employees, particularly the Claimant in this instance.

[136] It is trite the onus remains on the Company to prove that the Claimant was dismissed with just cause and excuse, wherein the Claimant submits that the Company had failed to prove its allegations.

[137] Pursuant to section 30(5) of the IRA1967 and after having considered the totality of the evidence adduced, this Court is of the view that the Company had failed to establish on the balance of probabilities that the

dismissal of the Claimant from his employment with the company was with just cause or excuse.

[138] This Court having ruled that the Claimant was dismissed without just cause or excuse, will now consider the appropriate remedy for the Claimant.

Conclusion and Award

[139] For the above reasons, this court finds that the Company has failed to prove that the Claimant's dismissal was with just cause or excuse. The misconduct charges were either not established or not of such gravity as to justify summary dismissal in fairness. The dismissal is therefore without just cause or excuse.

[140] By Section 30(5) IRA 1967, this Court may order reinstatement or compensation. The usual relief is reinstatement with back wages, or compensation in lieu of reinstatement and back wages (capped at 24 months' salary) for the period of unemployment. Given the Claimant's senior position and long tenure, the primary relief is reinstatement to his former position (or equivalent), with continuity of service. The Company shall pay the Claimant's back wages from 2 May 2021 (date of termination) to the date of this Award, subject to the statutory cap of 24 months. In addition, in lieu of reinstatement (should reinstatement not be practicable), the Company shall pay

compensation amounting to one month's salary on the service of the Claimant to satisfaction of the unjust dismissal claim.

REMEDY

[141] This Honourable Court trust the parties will co-operate to effect reinstatement if desired, but if not, the compensation sum is declared due forthwith. Interest on any unpaid award shall run at the statutory rate from the date of this Award until payment.

Legal Reasoning on Relief

[142] Section 30(5) of the Industrial Relations Act 1967 empowers this Honourable Court to make an order for reinstatement or, in lieu thereof, award compensation and back wages. The guiding principle, as consistently affirmed by the superior courts, is that reinstatement remains the primary remedy in cases where the dismissal is found to be without just cause or excuse, unless reinstatement has become impracticable due to exceptional circumstances.

[143] In **Assunta Hospital V. Dr A. Dutt [1981] 1 MLJ 115**, the Federal Court held that reinstatement is the normal and primary relief, as the Industrial Court's function is to restore the employee to the position, he would

have held but for the unjust dismissal. Similarly, in **Hotel Jaya Puri Bhd V. National Union of Hotel, Bar & Restaurant Workers [1980] 1 MLJ 109**, the Court emphasized that reinstatement should not be denied merely on the ground of strained relations unless such strain renders continued employment impossible.

[144] This position was reaffirmed in **Sime UEP Properties Bhd V. Chu Ah Poi [2008] 9 CLJ 73 (CA)**, where the Court of Appeal observed that compensation is a secondary remedy and should only be awarded when reinstatement is clearly impracticable. The Court reiterated that the Industrial Court must examine the surrounding facts to determine whether reinstatement can realistically be implemented.

DECISION

[145] In the present case, the Claimant had served the Respondent with an unblemished record prior to the dismissal. The dismissal was found to be without just cause or excuse, and no evidence was adduced to show that the employment relationship had deteriorated to such an extent that reinstatement would be untenable. The Claimant's position remains available within the organizational structure, and no evidence was led to suggest redundancy or closure of the role.

[146] Accordingly, this Honourable Court finds that reinstatement is both legally justified and practically feasible. This remedy best accords with the principle of industrial justice and the restorative purpose of the Industrial Relations Act.

[147] It is trite and well-established that reinstatement is the primary and preferred remedy in cases brought pursuant to Section 20 of the Industrial Relations Act 1967("IRA 1967"). The Federal Court in **Wong Chee Hong V. Cathay Organization (M) Sdn Bhd [1988] 1 CLJ (Rep) 298** affirmed that reinstatement is the normal consequence where a dismissal is found to be without just cause or excuse, unless the employer proves compelling reasons why reinstatement should not be ordered.

[148] Section 20 of the IRA 1967 is remedial in nature and seeks to restore the workman to the employment from which he was unjustly removed. The Industrial Court has repeatedly held that reinstatement aims to "place the workman in the position he would have been but for the dismissal", consonant with the principles of equity, good conscience, and the substantial merits of the case mandated by Section 30(5) IRA.

[149] The Court is guided also by the Federal Court in **Norizan Bakar V. Panzana Enterprise [2013] 6 MLJ 605**, where His Lordship Raus Sharif

PCA reiterated that reinstatement must be considered first, and compensation in lieu only where reinstatement is proven impracticable. In **Wong Yuen Hock V. Hong Leong Assurance [1995] 3 CLJ 344**, the Federal Court further emphasized that reinstatement is the "main and only' proper remedy unless circumstance show that the employment relationship has irretrievably broken down.

[150] The Company did not adduce any evidence demonstrating that reinstatement is impossible, unworkable, undesirable or counterproductive. Neither was it argued that the Claimants' reinstatement would cause operational disruption, financial hardship, or a breakdown in trust that would make future cooperation untenable.

[151] The evidence before this Court shows no element of dishonesty, fraud or personal gain on the part of the Claimant. The findings above show that the so-called "misconduct" relied upon by the Company was either not proven, partially proven or established to be procedural lapses committed during a period of organizational vacuum, with no improper motive. The Claimant acted at all material times to safeguard the functioning of the Company in the absence of effective governance and absent action by the Board.

[152] The Claimant had served the Company for approximately six (6) years and three (3) months with an unblemished record, had shouldered senior responsibilities including Acting Director General and had been entrusted with critical functions without issue until the events culminating in his dismissal. The Company produced no evidence that the Claimant demonstrated any behavior that would preclude a viable employment relationship.

[153] The Industrial Court is guided by numbers authorities that reinstatement remains appropriate where the alleged misconduct does not to go the root of trust and confidence. In **Ricwil (Malaysia) Sdn Bhd V. Tham Chai Wan [2004] 3 ILR 293 and Abu Samah Othman V. Oriental Assemblers [2007] 3 ILR 1**, the High Court intervened where dismissal was disproportionate and held that the workman should be restored unless trust is clearly broken. No such evidence exists here.

Reinstatement as the Most Just Remedy

[154] The evidence overall supports the conclusion that the Claimant's dismissal was substantively unjust, and procedurally tainted by the Company's failure to undertake a fair and reasonable assessment of the circumstances leading to the alleged wrongdoing.

[155] Having considered the entire factual matrix, this Court finds no basis to conclude that reinstatement would be oppressive to the Company, unworkable, or detrimental to industry harmony. On the contrary, reinstatement ensure that the workmen receives the full measure of justice contemplated by the IRA 1967.

[156] As such, reinstatement, without loss of wages, seniority, benefits, and continuity of service, is the most appropriate, equitable and legally correct remedy in this case. Compensation in lieu of reinstatement is inappropriate, as the Company has failed to discharge the burden of proving that reinstament is not feasible.

[157] In respect of the quantum the Court is mindful of the view taken by **Tun Salleh Abas FJ in the case of Hotel Jaya Puri Bhd. V. National Company of Hotel, Bar & Restaurant Workers & Anor [1990] 1 MLJ 109**: "..if there is a legal basis for paying the compensation, the amount of course is very much a matter of the discretion which the Industrial Court is fully empowered under s.30 of the IRA 1967 to fix."

BACK WAGES

[158] Back wages are calculated based on the Claimant's last drawn salary but limited to 24 months. From the back wages, the court is required to make

a deduction for any contributory conduct; post dismissal earnings and delay in the hearing of the case but such a deduction need not involve a mathematical calculation.

[159] In determining the appropriate quantum of back wages, this Court is duty-bound to consider whether the Claimant contributed to the circumstances leading to his dismissal. While this Court has found that the dismissal was without just cause or excuse, the Claimant cannot be fully absolved of responsibility regarding the procedural irregularities identified in Second (failure to strictly verify Encik Azman's bankruptcy status) and Third (the utilization of personal accounts for Company payments). As the Acting Director General, the Claimant was expected to exercise a high degree of administrative diligence.

[160] However, the evidence establishes that these actions were not driven by malice, dishonesty, or personal gain, but were executed in good faith to ensure the Company's continued operations during a critical shortage of signatories. Therefore, applying the principles of equity and proportionality, this Court finds that a **deduction of 20%** from the back wages is just and appropriate. This percentage serves to acknowledge the Claimant's contributory fault in failing to adhere to strict procedural protocols, while

reflecting that these errors were minor and technical in nature compared to the severity of the dismissal.

[161] This Court is bound by the principle laid down in the case of **Dr. James Alfred (Sabah) V. Koperasi Serbaguna Sanya Bhd (Sabah) & Anor [2001] 3 CLJ 541**. His Lordship Justice Tan Sri Steve Shim CJ (Sabah & Sarawak) in delivering the judgement of the Federal Court held that:

''In our view, it is in line with equity and good conscience that the Industrial Court, in assessing quantum of back wages, should take into account the fact, if established by evidence or admitted, that the workman has been gainfully employed elsewhere after his dismissal. Failure to do so constitutes a jurisdictional error of law. Certiorari will therefore lie to rectify it. Of course, taking into account such employment after dismissal does not necessarily mean that the Industrial Court has to conduct a mathematical exercise in deduction.

What is important is that the Industrial Court, in the exercise of its discretion in assessing the quantum of back wages, should take into account all relevant matters including the fact, where it exists, that the workman has been gainfully employed elsewhere after his dismissal. This discretion is in the nature of a decision-making process.''

CONTRIBUTORY FACTOR

[162] This Court have carefully examined the facts and evidence in this case and of the view that there was contributory factor on the part of the Claimant. Hence, under this item, there is deduction shall be made to this contributory factor.

DELAY

[163] From an examination of the notes of proceedings, this Court is satisfied that the Claimant did not occasion any delay in connection with the hearing of this ministerial reference. Hence, there is no deduction under this head.

GAINFUL EMPLOYMENT

[164] At the time of dismissal, the Claimant last drawn basic salary with fixed allowance was **RM 19,300.00 [as at CLB-3 page 15]. On the facts of this case, there is no evidence of any post- dismissal income after the Claimant was dismissed by the Company. Hence, there shall be no deduction under this item.** The Claimant has served the Company for **over six (6) years three (3) months and one (1) day, which was from 01.01.2015 until 02.04.2021**.

[165] Regarding the issue of gainful employment, the Court is guided by the principle that back wages are compensatory in nature. However, in this present case, the Claimant has adduced evidence that he has remained unemployed and has not secured any alternative employment from the date of his termination on **02.05.2021** until the conclusion of the hearing of this case. Furthermore, there is no evidence before this Court to show that the Claimant had obtained any post-dismissal earnings during the interim period. As the Claimant has generated no income since his dismissal, this Court holds that **no deduction** shall be made from the back wages under this head.

MONETARY AWARD

[166] After having considered the evidence adduced before this Court as well as the submission by both parties, the remedies are as follows:

i. Back wages for twenty (24) months based on the Claimant's last drawn salary:

RM 19,300.00 X 24 months	= RM **463,200.00**
Less 20% (Proportionality of Punishment 20 %:)	= (RM 92,640.00)
TOTAL	= **RM 370,560.00**

[167] In this case, the Claimant also involve in the proportionality of Punishment the facts of the case and the back wages here to be deducted on 20% basis.

[168] The monetary award in a total sum of **RM 370,560.00** less statutory deductions, if any, shall be paid by the Company to the Claimant via his representative **Messrs. Ganpartnership** within 30 days of the award with interest of 8% per annum to be calculated from 30 days of the award until full and final settlement.

[169] This Court verily believe that this Award is just and appropriate in the light of the particular facts of the present case and guided by the principles of equity, good conscience and substantial merits of this case without regard to technicalities and legal forms.

HANDED DOWN AND DATED THIS 8TH DAY OF DISEMBER 2025

-Signed-

(ZALINA BINTI HAJI AWANG @ MAMAT)
CHAIRMAN
INDUSTRIAL COURT, MALAYSIA
KUALA LUMPUR